

STATE OF NEW YORK

5640--C

2025-2026 Regular Sessions

IN SENATE

February 26, 2025

Introduced by Sens. BAILEY, ADDABBO, CLEARE, COMRIE, FERNANDEZ, GOUNARDES, JACKSON -- read twice and ordered printed, and when printed to be committed to the Committee on Racing, Gaming and Wagering -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the racing, pari-mutuel wagering and breeding law, in relation to authorizing up to two percent of mobile sports tax revenue be used for youth team sports funding

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Subdivision 8 of section 1367 of the racing, pari-mutuel
2 wagering and breeding law, as amended by section 1 of part 00 of chapter
3 59 of the laws of 2025, is amended to read as follows:

4 8. (a) Notwithstanding section thirteen hundred fifty-one of this
5 article, mobile sports wagering gross gaming revenue and tax revenue
6 shall be excluded from sports wagering gross gaming revenue and tax
7 revenue. Mobile sports wagering tax revenue shall be separately main-
8 tained and returned to the state for deposit into the state lottery fund
9 for education aid except as otherwise provided in this subdivision. Any
10 interest and penalties imposed by the commission relating to those
11 taxes, all penalties levied and collected by the commission, and the
12 appropriate funds, cash or prizes forfeited from sports wagering shall
13 be deposited into the state lottery fund for education.

14 (b) In fiscal year two thousand twenty-two, the commission shall pay
15 into the commercial gaming fund one percent of the state tax imposed on
16 mobile sports wagering by this section to be distributed for problem
17 gambling education and treatment purposes pursuant to paragraph a of
18 subdivision four of section ninety-seven-nnnn of the state finance law;

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 provided however, that such amount shall be equal to six million dollars
2 for each fiscal year through fiscal year two thousand twenty-six and
3 twelve million dollars for each fiscal year thereafter, provided that
4 this amount may only be expended pursuant to a plan approved by the
5 director of the budget.

6 (c) In fiscal year two thousand twenty-two, the commission shall pay
7 one percent of the state tax imposed on mobile sports wagering by this
8 section to the general fund, a program to be administered by the office
9 of children and family services for a statewide youth sports activities
10 and education grant program for the purpose of providing annual awards
11 to sports teams and programs for underserved youth under the age of
12 eighteen years for programming, improvements, and equipment; provided
13 however, that such amount shall be equal to five million dollars for
14 each fiscal year through fiscal year two thousand twenty-six and twenty
15 million dollars for each fiscal year thereafter. Fifty percent of such
16 funding shall be used for capital expenditures and the remaining fifty
17 percent shall be used for programming. Capital expenditure funding shall
18 be distributed by county youth bureaus. Programmatic funding shall be
19 distributed by county youth bureaus, except in the city of New York
20 where seventy-five percent of programming funding shall be distributed
21 by the city's department of youth and community development and twenty-
22 five percent of such funding shall be distributed by a not-for-profit
23 organization that has an established history of making grants to improve
24 the lives of youth in underserved communities by supporting and invest-
25 ing in programs that use sports as a vehicle for youth development and
26 social change. Each county youth bureau, the city of New York's depart-
27 ment of youth and community development, and a not-for-profit organiza-
28 tion that has an established history of making grants to improve the
29 lives of youth in underserved communities by supporting and investing in
30 programs that use sports as a vehicle for youth development and social
31 change shall issue a report to the commissioner on the recipients of
32 such funding, the use of the funds, and the impact of the funding within
33 six months of the end of each grant period.

34 (d) The commission shall require at least monthly deposits by a plat-
35 form provider of any payments pursuant to subdivision seven of this
36 section, at such times, under such conditions, and in such depositories
37 as shall be prescribed by the state comptroller. The deposits shall be
38 deposited to the credit of the state commercial gaming revenue fund. The
39 commission shall require a monthly report and reconciliation statement
40 to be filed with it on or before the tenth day of each month, with
41 respect to gross revenues and deposits received and made, respectively,
42 during the preceding month.

43 § 2. This act shall take effect immediately.